

Daraz Case Study

1. Difference between physical market place and a meta market

From the case study of Daraz, the difference between a physical marketplace and a meta market is primarily in their structure and accessibility. A physical marketplace is a conventional, brick-and-mortar store where consumers and traders meet in person. In contrast, a meta market, as in the case of Daraz, is an online or digital marketplace that brings together numerous sellers and products into one virtual space. This model online provides a much wider selection and improved accessibility for consumers across geographical locations and providing more variety than an ordinary physical store or shopping mall.

2. Daraz Business Model

Daraz, initially incubated by Rocket Internet (RI) in 2012, expanded its business as an online fashion retailer by trading in its own inventory. However, upon discovering the limitations of the model, Daraz transformed its business model into a marketplace. This entailed facilitating sellers to open virtual stores on Daraz.pk, where they could list and price products. Consequently, Daraz charges a commission on each sale made on its platform, but does not hold inventory. The case study establishes that the commission charges differed across categories; for example, 5% on mobiles and 30% on clothing. This change in approach allowed Daraz to diversify its products from fashion and scale more efficiently, with a view to enabling buyer-seller transactions and providing an e-commerce transaction platform. Furthermore, the case study establishes that high-end brands were offered online promotion and advertisement opportunities instead of commission cuts.

3. Models adopted by Daraz

Daraz employed a few simple models to set up shop in the Pakistani e-commerce industry. In particular, it switched to a marketplace model, which enabled third-party vendors to post their products and directly engage with customers. This was a tactical shift from carrying its own inventory. Daraz employed a commission-based model of revenue that takes a percentage of the transaction from sellers. The case study reveals that Daraz emphasized providing authentic and warrantied products to establish trust and stand out from the rest. Lastly, Daraz is greatly dependent on a data-driven strategy, employing online marketing techniques and closely monitoring their performance to maximize marketing efforts.